subordinated to maritime liens such as crew wages or unpaid freight, fuel, or port charges. In other words, you lack the "positive and substantial advantage of the realizability of the pledged assets." (Chap. 10) Last, shipping commands no customer loyalty, no brand value or corporate differentiation, hair-raisingly volatile rates, and low geographic arbitrage availability. You can repossess a plane from a distressed U.S. carrier and sell it to a thriving Brazilian domestic airline for a profitable route—not so in shipping. It would have been handy to realize in 2013 when I invested in Eagle Bulk Shipping that "the conception of a mortgage lien as a guaranty of protection independent of the success of the business itself is in most cases a complete fallacy." (Chap. 6) Yet Eagle Bulk started as a successful restructuring, smoothly navigating through the bankruptcy process (dare I say "sailing") with the support of lenders—including yours truly. Business continued uninterrupted, new financing was obtained, obligations to customers and employees were fulfilled, and the company emerged within six months with a brand spanking new capital structure and bright business prospects. Within months, shipping rates plummeted, and even the restructured first lien blew up. The illiquidity of the loan exacerbated the drop in price. The mortgaged assets provided no floor value. "Safety is not measured by lien but by the ability to pay" (Chap. 6) was the lesson. The proverbial Eagle had landed . . . but it was an emergency descent into distressed land again.

A lot has muddled the craft of distressed investing since my EETC encounter and shipping debacle. In chronological order, I would cite three seismic shifts. The first is that investing in distressed debt has become mainstream and institutionalized since the telecom crisis of 2001. Back then, the Callan Periodic Tables estimated distressed hedge funds at $24 billion in assets under management and multi-strategy hedge funds at $66 billion. While it would be arduous to circle a total